

year or the operating cycle, whichever is longer; further, such obligations will typically involve the use of current assets, the creation of another current liability, or the providing of some service. This enhanced definition is expansive enough to capture less obvious obligations pertaining to items like customer prepayments, amounts collected for and payable to third parties, the portion of long-term debt due within one year or the operating cycle (whichever is longer), accrued liabilities for expenses incurred but not yet paid, and contingent liabilities. However, the definition is not meant to include amounts not yet “incurred.” For example, salary to be earned by employees next year is not a current liability (this year) because it has yet to be “incurred.”

THE OPERATING CYCLE: Remember that the operating cycle is the length of time it takes to turn cash back into cash. That is, a business starts with cash, buys inventory, sells goods, and eventually collects the sales proceeds in cash. The length of time it takes to do this is the operating cycle. Take careful note of how the operating cycle is included in the above definition of current liabilities: “one year or the operating cycle, whichever is longer.” For most businesses, the operating cycle is less than one year, but not always. A furniture manufacturer may have to buy and cure wood before it can be processed into a quality product. This could cause the operating cycle to go beyond one year. If that is the case, then current liabilities might include obligations due in more than one year.

8.1.2 Future Accountant

<http://www.futureaccountant.com>

Future Accountant is a site with a snazzy name which has information on how to make a mark as a CA (Chartered Accountant), CWA (Cost and Works Accountant) and CS (Company Secretary) with a step by step approach of achieving them. It's an Indian site run anonymously by the group Krishbhavara.

The first part consists of the Almanac—basic information about various options in Accounting itself. For prospective beginners, CA/CS/CWA—Foundation, Inter and Final students; Almanac information about the attributes of the profession, exam dates